

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Microeconomics (Component 01)

Sub-Topic

Business Objective

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

- 1 * Profit maximisation is an unrealistic objective and does not explain the behaviour of firms in the real world.

Evaluate the extent to which profit maximization is the most important objective influencing the activities of a firm in the real world.



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- 2 The total costs for an individual operating a fast food van outside a local DIY store last year were £15,000. If 25,000 sales were made in total and the only fixed cost incurred was the rental of the van at £250 a month, what was the average variable cost?

- A 48
- B p
- C 59
- D p
- 60

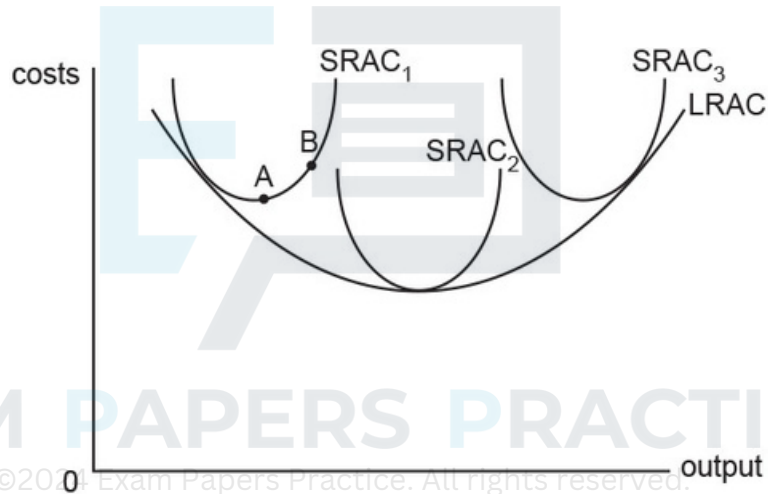
Your answer

72

p

[1]

- 3 Which of the following concepts is represented by the movement from A to B in the diagram below?



- A Allocative inefficiency
- B Diminishing returns
- C Diseconomies of scale
- D Economies of scale

Your answer

[1]

Extract 1 – Is hosting the Olympic Games a profitable business?

In the build up to the 2016 Rio Olympic Games, Brazilians were divided over the merits of hosting the world's largest sporting event in their country. With the economy in recession for the second year running and costs spiralling 50% over budget, many argued that the \$4.6bn could have been better spent in this developing nation. Such critics point to the loss made by the majority of previous host cities as evidence of wasteful expenditure.

Fig. 1.1 summarises the financial implications for Vancouver and London, hosts of the 2010 Winter and 2012 Summer Olympics respectively. A significant proportion of Olympics revenue goes to the International Olympic Committee (IOC); the figures detailed in Fig. 1.1 reflect what was kept by the host nations.

Fig. 1.1 – Vancouver 2010 & London 2012 Olympic Games Costs & Revenues

	Vancouver 2010 (\$ millions, USD)	London 2012 (\$ millions, USD)
Costs		
General infrastructure	3,497	5,97
Sporting infrastructure	715	0
Other	3,344	1,79
		0
Revenues		3,64
Broadcasting rights	414	1,713
Sponsorship	863	1,450
Ticketing	250	988
Licensing	51	119

However, those in favour of hosting the Olympic Games argue that these statistics significantly underestimate the benefits, many of which will be felt for generations to come. Improvements in the transport infrastructure can enhance productivity, whilst the regeneration of East London in 2012 provided tangible benefits to local residents.

Critics question whether the long run benefits from the Olympics are better than those which would have resulted from alternative infrastructure projects. For example, significant investment to meet a three week period of peak demand may result in severe overcapacity once the event is over, illustrated by the now weed infested cycling racetrack used for the Beijing Olympics.

Recognising that many potential hosts were being put off by the rising costs of hosting an Olympics, the IOC published its Olympic Agenda 2020 in December 2014. At the centre of the agenda is a desire to include sustainability in all aspects of the Olympic Games, in doing so improving the economic viability of hosting the spectacle.

Extract 2 – The Olympic Games as a macroeconomic stimulus

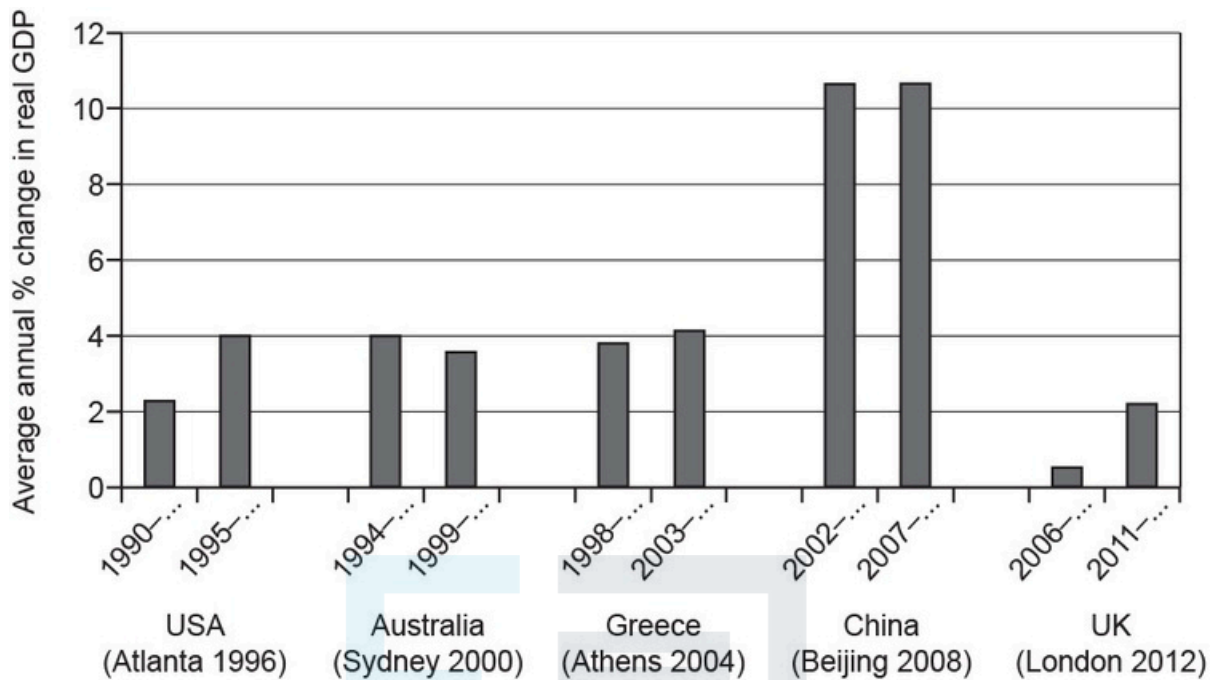
Despite the significant costs involved governments around the world remain attracted to bid for the Olympic Games because of the wider macroeconomic stimulus hosting the event can provide. The Bank of Japan has estimated that the Japanese economy could be boosted by up to \$249bn as a result of hosting the next games in Tokyo.

In many ways expenditure on the Olympic Games can be seen as an example of expansionary fiscal policy, generating thousands of jobs in construction in the build up and a significant amount of tourist expenditure. Economists estimate the multiplier effect of Olympics expenditure to be approximately 1.7; this wider economic effect is used to argue that in the long run hosting the Olympics more than pays for itself. Indeed, the macroeconomic stimulus proved particularly timely for the UK, which was in the midst of recovering from the global financial crisis when the 2012 London Games took place.

However, the size of the injection into the economy from hosting the Games is generally overstated. This is in part because it ignores the substitution effect: money spent on the Olympics by local residents is money that would have been spent on other goods and services had the Olympics not taken place. Projected increases in tourism also fail to take into account the number of people who choose not to come to the country during the Olympics, with holiday or business travellers put off from coming to the country because of the crowds associated with the Olympics. In both Beijing and London tourist numbers during 2008 and 2012 were actually lower in total than in the previous year. Moreover, whilst the employment gains are particularly beneficial during a period of recession, this will only ever occur by chance rather than design, given the Games need to be bid for seven years in advance. When the Olympics takes place in a country during the boom phase of the economic cycle the gains from employment are limited, workers simply switch from alternative employment towards Olympics related employment.

Fig. 2.1 compares historical growth rates with the rate of economic growth experienced by countries in the five year period during which they hosted the Olympic Games.

Fig. 2.1 – Economic growth rates of Olympic hosts



The long run consequences of hosting an Olympics are just as debatable. Some argue that the legacy of hosting the event has a powerful long term impact as a result of improved infrastructure and urban regeneration. Shortly after the 2012 Olympics a BBC survey found evidence of a ‘feel good effect’, with 80% of people saying they felt proud to be British. This could have an impact on confidence and therefore the propensity to consume.

Ultimately, the gains from tourism depend on the nature of the host city prior to the Olympics taking place. Whilst Barcelona and Salt Lake City saw a sustained increase in tourist numbers after hosting, this is largely attributed to them being destinations that were not popular before. Cities such as London clearly stand to gain less given London was already the world’s most visited tourist destination before hosting the games.

The Olympics is also thought to have a positive impact on a country’s balance of payments, with short run increases in tourist expenditure and long run increases in foreign direct investment as a result of companies becoming more familiar with the country. Fig. 2.2 outlines the impact on the exchange rates of host countries through use of the ‘Olympics index’. This is constructed by following the host country’s exchange rate in the four years prior to the Olympics taking place – for example, between 2004 and 2008 the Chinese Yuan is used for the index in the build up to the Beijing Olympic Games.

Fig. 2.2 – Exchange rate changes of Olympic hosts compared to other currencies, 1980–2012

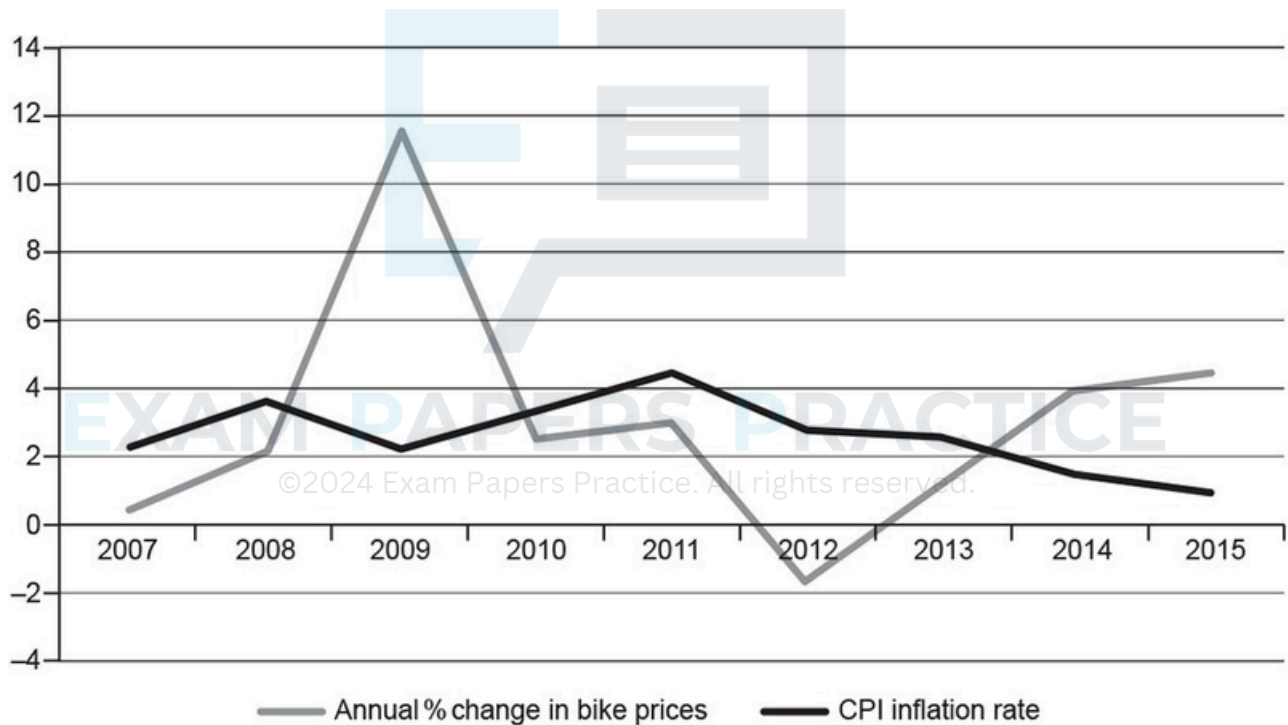
Currency	Exchange Rate Change 1980–2012 (%)
Australian Dollar	19.78
British Pound	–21.52
Indian Rupees	–45.11

Japanese Yen	53.72
Olympics Index	89.27
US Dollar	4.46

Extract 3 – Growth of the UK bicycle market

Gold medal winning performances by British cyclists has contributed to the rapid growth seen in the bicycle market. The increase in popularity of the sport has coincided with large scale infrastructure investment in cycle networks around the UK. This has been driven by a desire to ease traffic congestion, reduce pollution and improve the health of the population. Fig. 3.1 illustrates how the price of cycling has changed over time in the UK.

Fig. 3.1 – Bike prices & inflation in the UK 2007–2015



With £12,000 bikes now available to, and purchased by, consumers, some blame the rising cost of cycling on the lack of competition in the bicycle market. Evans Cycles, Halfords and Wiggle dominate the market, accounting for over 50% of market share between them, with Wiggle's recent takeover of rival Chain Reaction further increasing the collective power of these three retailers.

An alternative explanation for the rising price of bicycles is the fact that bicycle equipment has improved dramatically over the years. Innovations such as electronic gears and carbon fibre mean modern day bicycles are incomparable with those on sale 20 years ago. With the number of independently owned bike shops increasing by more than 10% over the past decade, it is clear firms are looking to take advantage of this ever expanding market.



Please refer to insert H460-03 June 2018, Olympic Games, which can be downloaded separately and is included above.

Using Fig. 1.1, compare the profitability of hosting the Vancouver and London Olympic Games.

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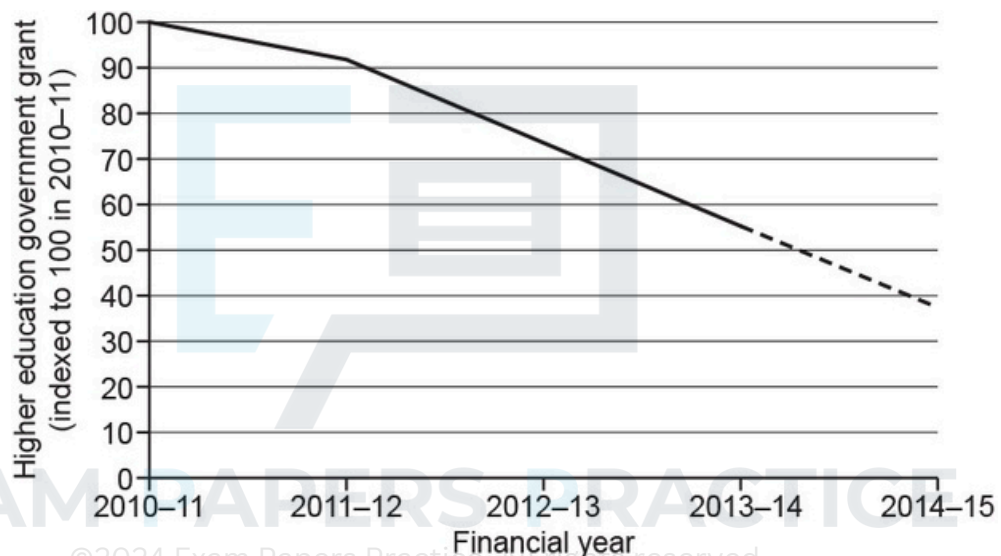
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5

Who should pay for students to study at university?

The proportion of university education provided by the public sector and the private sector varies throughout the world. Most UK universities are generally considered to be in the public sector. In 2017, there were only five private sector universities in the country. The difference between public sector and private sector universities, however, is changing. This is the result of a shift in the funding of higher education, particularly in England. Universities are obtaining less of their income from government financed teaching grants and an increasing proportion from tuition fees. Fig. 1 shows how the amount of government spending on higher education has fallen in recent years.

Fig. 1 – Spending on higher education government grant



Note: Figure for 2014–15 was a predicted figure. Figures are in real terms, adjusted for inflation using the GDP deflator.

Tuition fees were introduced in 1998 at a maximum of £1,000 a year. By 2017, these had risen to a maximum of £9,250 for UK and EU students studying in England. Most universities charge this maximum annual fee. In October 2017, the government announced that it was freezing tuition fees at £9,250 instead of increasing them in line with inflation and raising the student loan repayment threshold from £21,000 to £25,000. Most students would like the government to maintain the freeze for some time or even scrap tuition fees altogether.

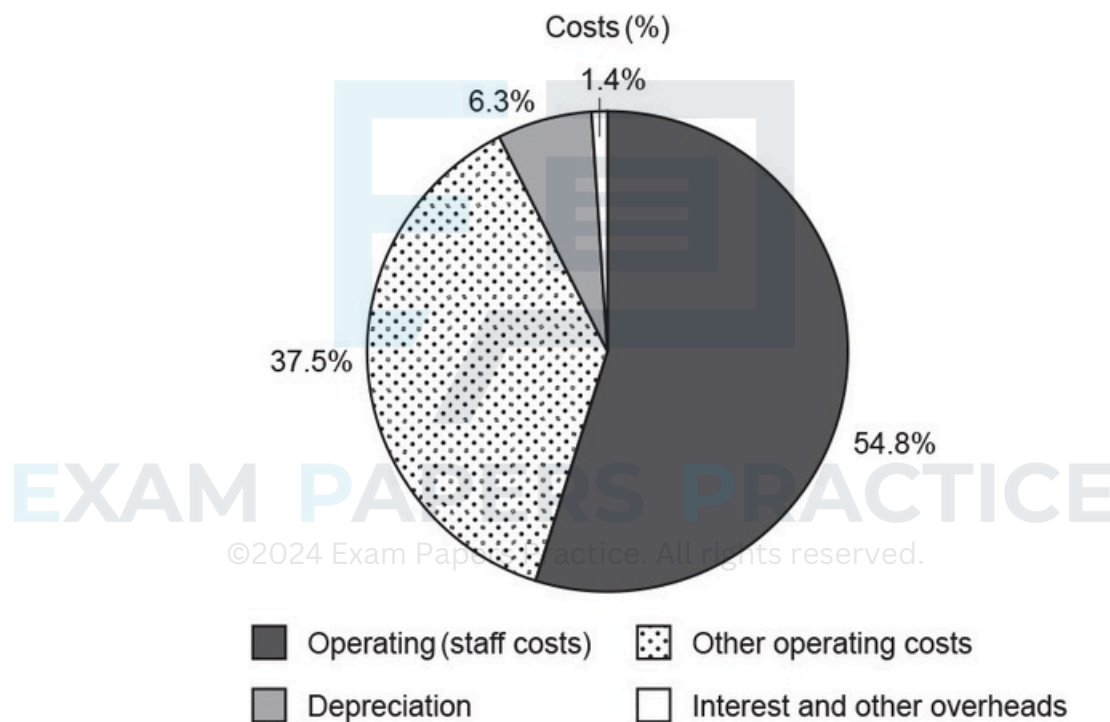
Some A Level students do not gain the grades needed to take up university places. In other cases, however, it is tuition fees which discourage them from applying to university. These students are concerned about future debt levels and value for money. The average pay for university graduates is higher than that for non-graduates. Future earnings, however, vary according to the subject studied, university attended and job gained after graduation. Currently the highest earning post graduates tend to have been students of medicine, veterinary science,

economics and engineering. While the lowest earners are found to be former students of English Literature, communication, agriculture and creative arts. A Level pupils are also aware that the learning experience varies between courses and universities, with some undergraduates complaining about lack of contact hours and high numbers of students in seminar groups.

25 While a limit on tuition fees may be welcome to many students, universities are concerned about the measure. They are worried that if they are not able to charge higher tuition fees and if they do not get more funding from the government, they will struggle to cover their costs. Universities' operating costs vary with the number of students they teach. Fig. 2 shows a breakdown of the total cost of £31.2 billion incurred by UK universities in 2014–2015 when they were educating

30 2.2 million students.

Fig. 2 – The composition of the total cost of UK universities 2014–2015



The cost of providing degree courses varies between subjects and universities. It is, for example, more expensive to provide engineering courses than English Literature courses. The University of Cambridge, for instance, spends more per student than the University of Bedfordshire.

35 The amount spent on education for people above school age (tertiary education), includes spending on degree courses and vocational courses. Such education provides a range of benefits not only to those who undertake the courses but also to others. Tertiary education increases a country's output and the productivity of its workers. UK universities are also creating an increasing number of spin-off companies which create new jobs.

Fig. 3 shows how the proportion of people of two different age ranges who had completed tertiary education varied in selected countries in 2016, as well as average income in those countries.

Fig. 3 – The proportion of people who had completed tertiary education in selected countries in 2016

Country	25–34 year olds who completed tertiary education	55–64 year olds who completed tertiary education	Average income (GDP per head in US\$) 2016
Canada	60.6	46.2	42 200
Germany Japan	30.5	26.3	42 000
New Zealand	60.1	39.7	39 100
South Korea	43.4	28.2	39 400
United Kingdom	70.0	19.7	27 600
United States of America	52.0	37.6	39 900
	47.5	41.9	57 500

Please read the extract above or refer to insert H460-01 June 2018, Who should pay?, which can be downloaded separately.

Calculate, using information from the stimulus material, the average fixed cost of educating a university student in 2014–2015.

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6

Evaluate whether the main influence on the size of a firm over time is economies of scale.





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Grocery retailing is often used as an example of an oligopoly market in the UK. Economists sometimes divide oligopoly markets into two types: perfect oligopoly, in which the products sold are homogenous and imperfect oligopoly, in which there are differentiated products. The behaviour of firms in a perfect oligopoly can be significantly different from those in an imperfect oligopoly.

In the UK, since the 1950s, the selling of groceries has become increasingly dominated by supermarkets. Tesco has been the market leader for a sustained period of time with over 25% of the market share. There are, however, other competitors who also maintain a significant share of the grocery market, as shown in Fig. 1.

Supermarket	Percentage share of grocery market	Percentage share of grocery market
	July 2014	July 2016
Aldi	4.8	6.2
Asda	17	15.5
Co-op	6.3	6.4
Lidl	3.6	4.5
Morrison's	11	10.7
Sainsbury's	16.6	16.3
Tesco	28.9	28.3
Waitrose	4.9	5.1
Others	6.9	7.0

Fig. 1 Percentage share of grocery market by supermarket. July 2014 and July 2016.
(As measured by % of total market sales revenue.)

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The market for groceries is large with the value of sales exceeding £170bn. This has continued to grow, see Fig. 2, despite the macroeconomic problems of the UK economy and a prolonged price war between the supermarkets.

	UK grocery market by value in £bn
2014	177.4
2016	179.1

Fig. 2 UK grocery market by value £bn. 2014 and 2016.

The larger supermarkets have used price cutting in an attempt to maintain market share. While another method of differentiating their brand has been to offer better home delivery services. At present online ordering accounts for less than 10% of all grocery sales.

Sainsbury's, one of the leading supermarkets, has recently decided to integrate its business by buying out Argos.

This constitutes horizontal integration. Argos specialises in selling non-grocery products such as toys, clothing and household goods. These non-grocery products are part of Sainsbury's wider product portfolio. Argos offers delivery by 10pm for any of its products ordered by 6pm on the same day. One of the potential benefits of this buy out of Argos by Sainsbury's is the delivery network that Argos has established. Sainsbury's hope to increase their ability to deliver food using online ordering. However, the delivery of items such as clothes and household goods creates fewer problems than delivering fresh food products. Food items require different temperatures and items are often fragile or bulky making the process more difficult and costly.

The major problem with online grocery sales is the lack of profitability. There is a very high level of fixed costs involved. It has been estimated that, on average, a delivery costs the supermarket £20 whereas consumers are charged less than £5. Ocado, an online groceries only provider, operated for 15 years before making a profit.

In recent years there have been some successful new entrants to the grocery retailing market such as Aldi, Lidl and Netto. Most recently, Amazon, a market leader in online sales, has also entered the grocery retailing market through a new service called Pantry. The entry of new firms into a market can influence the profits earned by the incumbent firms. Fig. 3 shows how the profits earned by Tesco and Sainsbury's have changed in recent years.

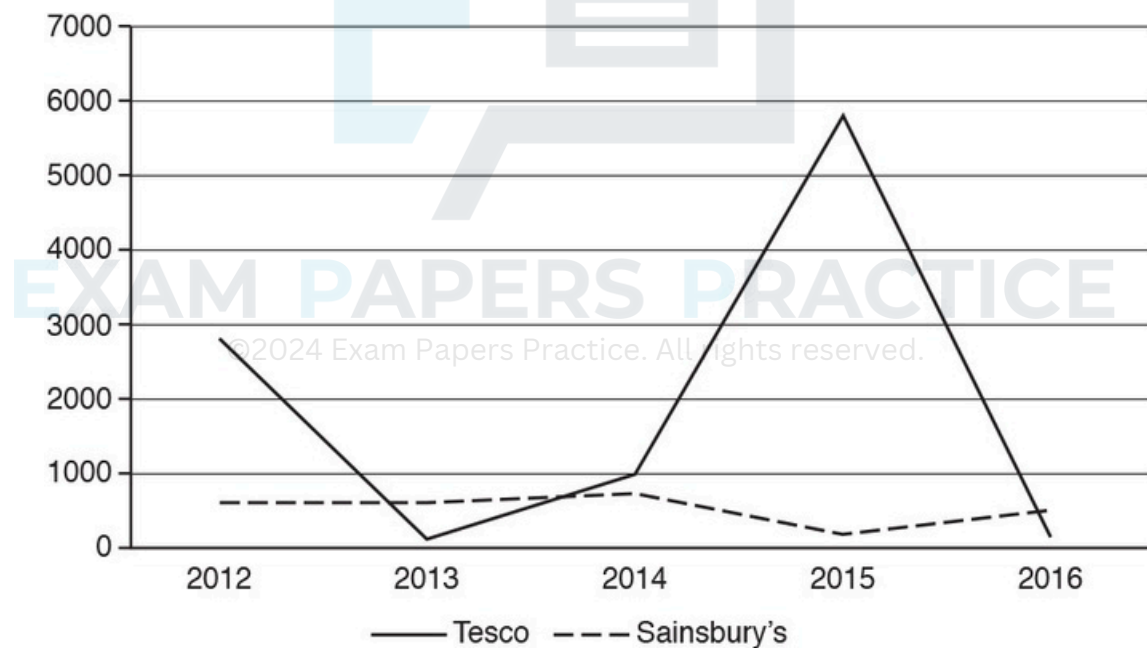


Fig. 3 Profits (£m) earned by Tesco and Sainsbury

Please refer to Insert H460-01 Practice 2, which can be downloaded separately and is also included above. Fig. 1 shows the growth of new supermarkets, such as Aldi.

Using the information in Fig. 1, calculate the percentage change in total revenue from grocery sales by Aldi between July 2014 and July 2016.



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8(a)

Developments in the UK cement and ready-mix concrete markets

Cement is mainly used to make concrete and accounts for approximately 45% of its production cost. The most common type of concrete is ready-mix concrete. This is a mixture of cement, granular raw materials and water. In 2009 the sales of cement in the UK totalled £0.9bn and the sales of ready-mix concrete came to £1bn. In the same year the output of cement was 7.6m tonnes and the output of

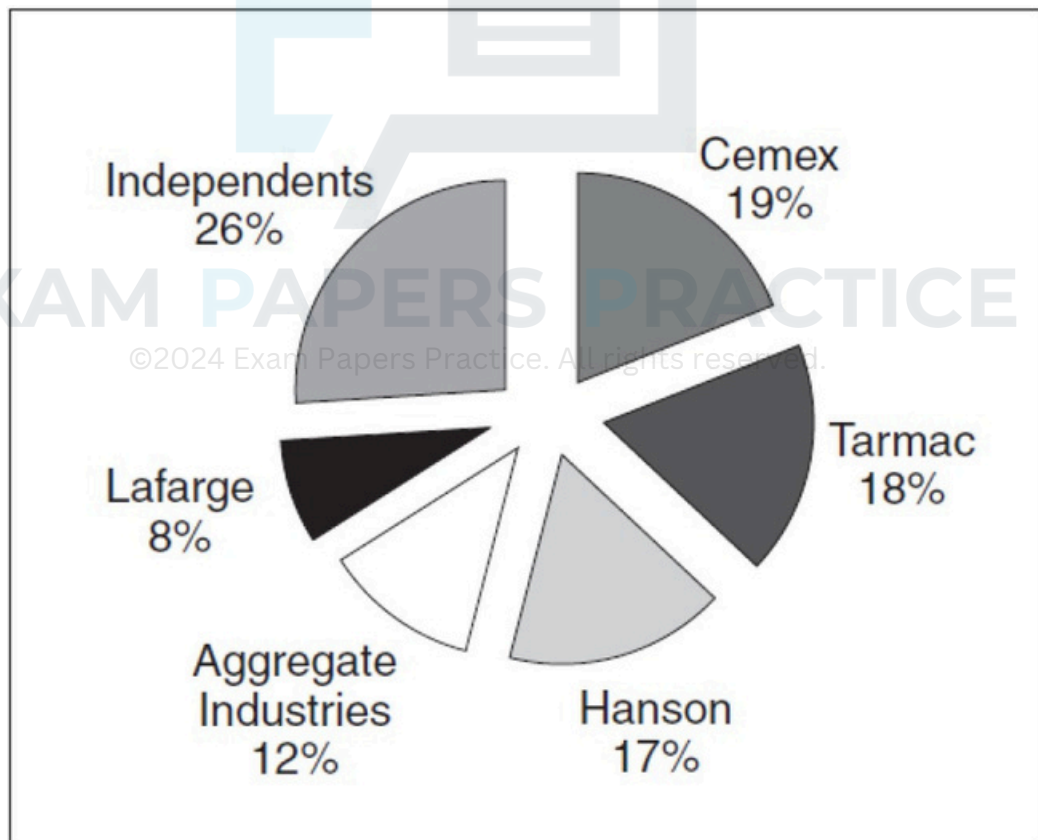
5 ready-mix concrete was 14m tonnes.

Over the last 20 years, a high number of mergers have reduced the number of firms in both markets and combined firms producing both cement and ready-mix concrete. In 2009 the three largest firms in the cement market, Lafarge, Cemex and Hanson, produced 6m tonnes of concrete between them.

Large firms also play a key role in the market for ready-mix concrete. Fig. 1 shows the market shares of

10 the five largest ready-mix firms in 2009.

Fig. 1 – UK shares of ready-mix concrete volumes, 2009



The large firms, all of which are multinationals, concentrate on producing building materials. Each owns quarries which extract granular raw materials. Their factories involved with the production of concrete

sell some of their output internally to other parts of their business. Some is also sold to other firms, including small firms which just produce ready-mix concrete.

- 15 There is little difference in the quality of both the cement and ready-mix concrete produced by the different firms. In the markets for both cement and concrete the large firms have considerable information about the pricing and output strategies of their rivals. This information comes from, for example, buying and selling to each other and details provided in planning proposals.

In both the markets for cement and concrete, there are a number of significant barriers to entry and exit

- 20 which give incumbent firms protection from the potential entry of new firms. There are high set up costs with, for instance, a cement factory costing as much as £100m to build. In addition, there are thought to be significant economies of scale available to the larger operators.

In 2010 and 2011 the Office of Fair Trading (OFT) undertook a study of the cement and ready-mix concrete markets. There was concern about the lack of competition and possible co-ordination of

- 25 market strategies undertaken by the large firms. Small ready-mix concrete firms told the OFT that they were being charged high prices for cement by the large firms, while having to compete against the low prices the large firms were charging for their own ready-mix concrete. They suggested that the large firms were prepared to accept lower profit margins on ready-mix concrete knowing that they could still make a high level of supernormal profit producing cement. These smaller firms claimed that such a
30 strategy, which became particularly evident in 2009, was designed to drive them out of business. Figs 2 and 3 show how the average revenue and average cost changed in the markets for cement and concrete between 2006 and 2010.

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Fig. 2 – Cement – average revenue and average cost per tonne

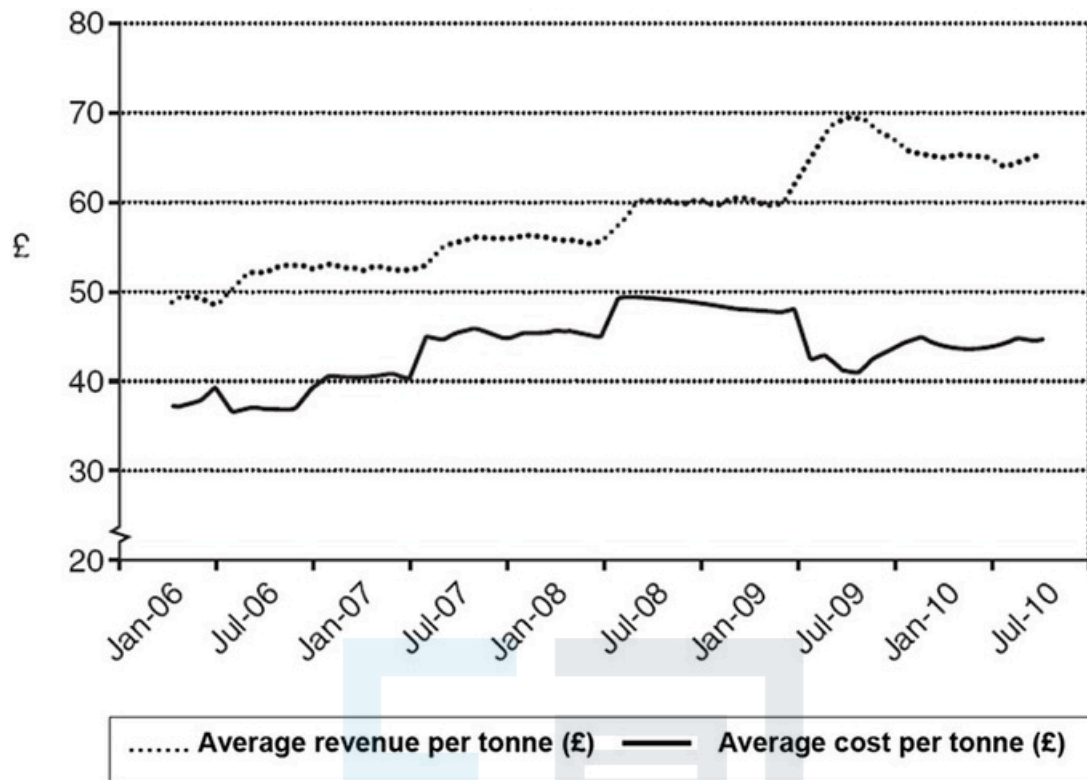
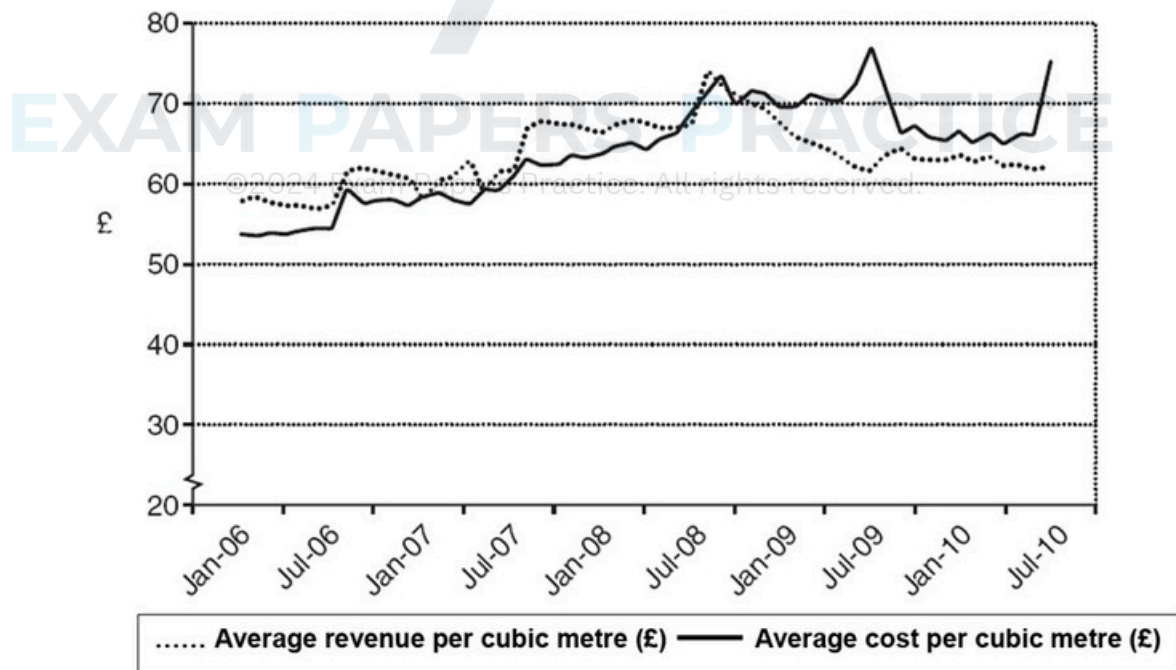


Fig. 3 – Ready-mix concrete – average revenue and average cost per cubic metre



In 2013 a merger took place between Lafarge and Tarmac but to gain permission from the regulatory authorities for this merger, the firms had to agree to sell off some of their quarries and factories to a new entrant, Hope Construction Materials. In early 2014 the Competition Commission ordered the newly



It is likely that future years will see further changes in the markets for cement and concrete – nothing is set in stone.

Using Figs 2 and 3, explain what evidence there is to support this view.

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[4]

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(b) Firms in the ready-mix concrete market specialise in one product.

Evaluate whether economies of scale can only be enjoyed by firms which specialise in a narrow range of products.



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[8]

- A External diseconomies of scale
B External economies of scale
C Internal diseconomies of scale
D Internal economies of scale

1

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- 10 The data below shows an index of prices in a country between 2012 and 2016. What was the annual rate of inflation in 2016?

Year	2012	2013	2014	2015	2016
Price Index	97.2	100	105.8	110.1	115.7

- A 1.3%
 B 5.1%
 C 5.6%
 D 15.7%
 %

Your answer

[1]

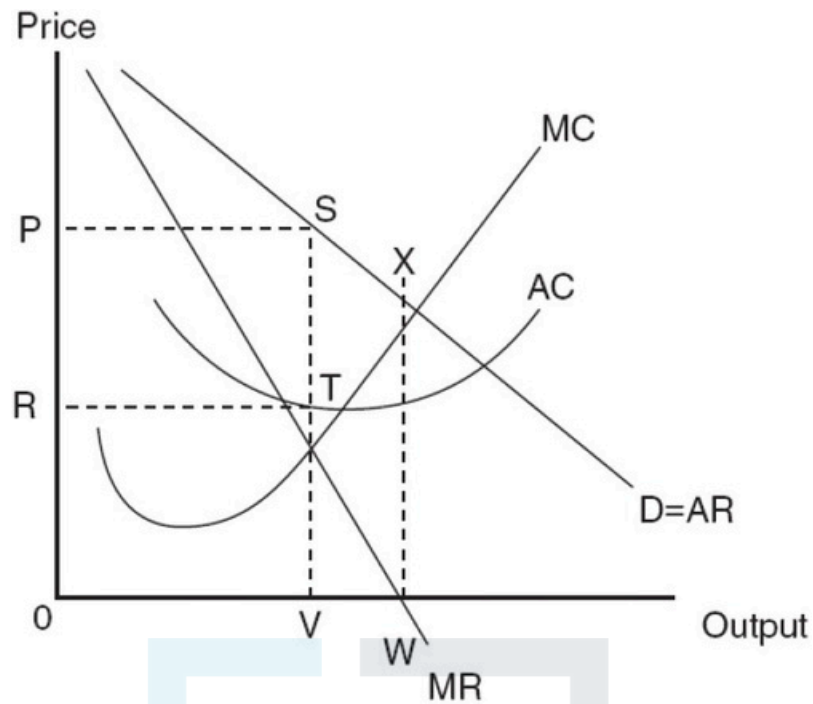
- 11 Which of the following is an example of the principal agent problem?

- A Economic agents are motivated by short term objectives that result in them making bad long term choices.
 B Government intervention can result in government failure because of imperfect information.
 C Owners tend to be profit maximisers but this objective is not shared by managers.
 D Those involved in the market transaction do not care about the impact on third parties.

Your answer

[1]

- 12 The diagram below represents a firm operating in monopolistic competition.



Which of the following statements is correct?

- A The firm achieves productive efficiency
- B The firm earns total revenue represented by the area RPST
- C The firm is operating on the elastic section of its demand curve
- D The firm's supernormal profit is represented by the area ORTV

Your answer

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[1]

- 13 In order to increase production in the short run a firm that produces toys adds units of labour to a fixed supply of capital equipment.

The table below shows the relationship between increasing units of labour and the total output of toys.

Units of labour	1	2	3	4	5	6	7	8	9	10
Output of toys	12	27	46	67	88	107	122	132	136	135

At what point does the firm first begin to experience diminishing returns?

- A When the 4th unit of labour is employed
- B When the 5th unit of labour is employed
- C When the 6th unit of labour is employed
- D When the 10th unit of labour is employed

Your answer

[1]

- 14 A business has a divorce between ownership and control and its management is aware of the need to meet the demand of shareholders.

Which of the following business objectives is the most likely to be adopted by its management?

- A Corporate social responsibility
- B Profit maximisation
- C Profit satisficing
- D Utility maximisation

Your answer

[1]

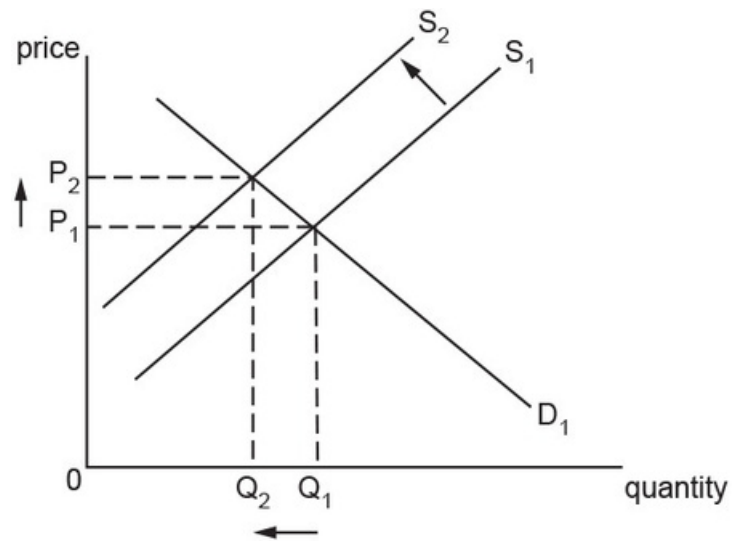
- 15 Which condition will a sales volume maximising firm use to determine its level of output?

- A $AC = AR$
- B $AR = AVC$
- C $MC = MR$
- D $MR = 0$

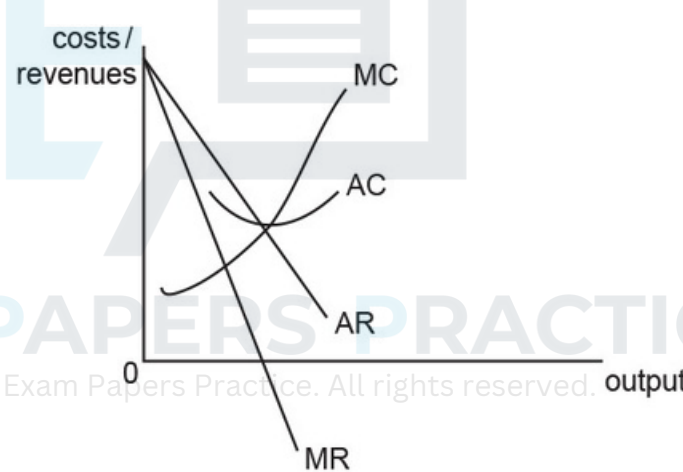
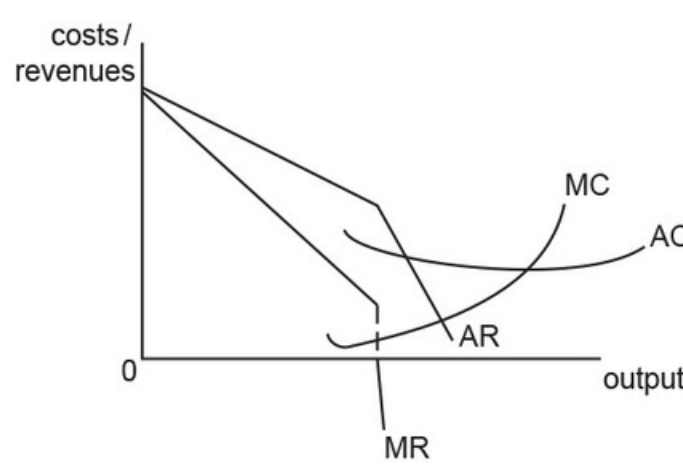
Your answer

[1]

16



In each of the following cases, firms are operating as profit maximisers. Which would cause the response on an industry level indicated in the diagram above?

A	 Graph A shows a firm's cost and revenue curves. The vertical axis is 'costs/revenues' and the horizontal axis is 'output'. The curves are: Marginal Cost (MC), Average Cost (AC), Average Revenue (AR), and Marginal Revenue (MR). The initial profit-maximizing output is where $MR = MC$. A second, lower Marginal Revenue curve is shown, leading to a lower profit-maximizing output. This represents a decrease in demand.
B	 Graph B shows a firm's cost and revenue curves. The vertical axis is 'costs/revenues' and the horizontal axis is 'output'. The curves are: Marginal Cost (MC), Average Cost (AC), Average Revenue (AR), and Marginal Revenue (MR). The initial profit-maximizing output is where $MR = MC$. A second, higher Marginal Cost curve is shown, leading to a lower profit-maximizing output. This represents an increase in marginal cost.



C	
D	

Your answer

[1]

17 What is the short run?

- A A period of time in which all factors of production are fixed
- B A period of time in which all factors of production are variable
- C A period of time in which at least one factor of production is fixed
- D A period of time in which at least one factor of production is variable

Your answer

[1]

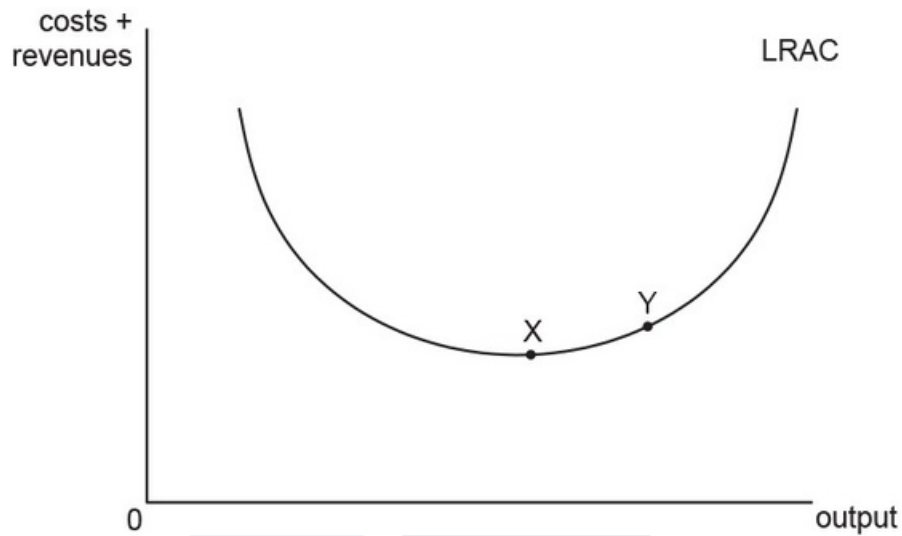
18 What is most likely to lead to allocative efficiency being achieved in an industry that is a natural monopoly?

- A Collusion
- B Competition policy
- C Information provision
- D Regulation

Your answer

[1]

19 What is the most likely cause of a movement from X to Y in the diagram below?



- A A rival firm entering the market increases the cost of inputs into the production process
- B Organisational slack increases as a result of a firm developing monopoly power
- C The growth of the industry results in more individuals undertaking relevant education training
- D Workers become less motivated after the firm they work for takes control of another firm in the industry

Your answer

[1]

20 What efficiencies occur in the model of perfect competition in the long run?

- A Allocative and dynamic efficiency
- B Allocative, dynamic and productive efficiency
- C Allocative, productive and X efficiency
- D Allocative, dynamic, productive and X efficiency

Your answer

[1]

- 21 Using the table below, what has happened to the three firm market concentration ratio in the global mobile telephone market between 2010 and 2019?

Firm	2010 Market Share (%)	2019 Market Share (%)
Apple	33.2	24.8
Huawei	0	10.6
Nokia	37.6	0.4
Others	18.8	32.9
Samsung	2.4	31.3

- A Decreased by 0.6%
 B Decreased by 6.1%
 C Decreased by 6.5%
 D Decreased by 16.7%

Your answer

☐

[1]

- 22 Please refer to insert H460-03 October 2020 which can be downloaded separately and is included with Q31. Explain the likely objective of a water or electricity firm if it operated in the public sector.

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[3]



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- [25]



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25 **The UK air travel sector**

The UK's biggest airline, easyJet, has reported profits before tax of £445m on revenues of almost £6bn, in the financial year ending September 2018. As the largest of the UK operators (see Table 1), easyJet faces strong competition from other 'budget' airlines (Flybe and Jet2), package holiday firms (TUI and Thomas Cook) and the previous market leader, British Airways. The recent growth of easyJet in the UK has been helped by the closure of Monarch in December 2017 and continued labour disputes at British Airways.

	2015	2016	2017
easyJet British	58.6	63.3	68.3
Airways TUI	41.3	42.1	42.8
Jet2 Flybe	10.6	10.9	11.3
Thomas Cook	5.9	6.7	9.7
Monarch Source:	7.8	8.4	9.2
CAA	6.4	6.6	7.3
	5.7	5.4	3.4

Table 1 – UK Passenger numbers (million)

Across the whole of Europe, easyJet flew a record 88.5 million passengers, up 10% on the previous year, and filled 93% of its seats – meaning only 13 seats are empty on an average flight. ver the year, this 'load factor' (the percentage of seats sold across all flights) has increased by 9.8%. Typically, airlines have been satisfied with a load factor of around 75%.

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Revenue per seat for easyJet in 2018 was £62, leading to a profit of £6.53 on each seat. But the airline had an additional £65 m cost from "a change in approach to IT development" and a £40m cost from taking over the landing slots of the failed Air Berlin, at Tegel airport in Germany.

A growing amount of easyJet's revenue comes from what it calls 'ancillary' sources. When a customer buys a ticket online, they are also able to book hotel accommodation, car hire and airport transfers. The business aims to grow its holiday sales, offer an improved customer loyalty programme and target the business-travel market, with "a more personalised product including new business fares".

Although it is now common throughout the airline industry, easyJet was one of the first airlines to introduce a 'dynamic pricing model' which sees the price of a ticket increase as the date of the flight moves nearer. Table 2 shows how the prices quoted on two separate routes were lower if booked on the 18 December 2018 compared to the 18 March 2019. As the weeks go by, the price quoted will increase as the date of travel moves nearer. There are always exceptions to the rule, due to other supply and demand factors, but, in general, the sooner a customer books the better price they get.

Route	Date when price was quoted	Date of travel		
		6 April 2019	1 June 2019	5 October 2019
London Gatwick to Gran Canaria	18 December 2018	£194	£74	£60
	18 March 2019	£259	£80	£76
London Luton to Barcelona	18 December 2018	£110	£42	£39
	18 March 2019	£122	£46	£42

Source: www.easyjet.com (accessed 18/12/18 & 18/03/19)

Table 2 – Ticket prices quoted on different dates (seat only)

On most routes, customers have a choice of airline, and in each case the service is largely identical. It is now common practice on these short and medium-haul routes that food, seat reservations and luggage are not included in the basic ticket price (see Table 3).

Airline	Basic price including all taxes	Seat reservation	One piece of check-in luggage
British Airways	£143	Included with luggage	£20
easyJet	£74	£6 to £18.50	£42
Thomas Cook	£73	£10	£48
TUI	£311	£11	£25

Source: Company websites (accessed 18/12/18)

Table 3 – Ticket prices quoted for London Gatwick to Gran Canaria (to travel on 1 June 2019)

Air travel is often said to be a demerit good. Politicians and economists have argued over the degree of control needed in the market and whether it is taxed enough. Most passengers entering or leaving the UK on a commercial flight will pay the Air Passenger Duty (APD) which was introduced by the UK government in 1993 for environmental reasons. However, a report published in 2018, called the ‘Roadmap to decarbonising European aviation’ considers other policies to reduce carbon emissions from air travel. The report criticises the lack of taxation of jet fuel across the world, saying: “Artificially cheap tickets through tax exemptions and government subsidies have propped up and propelled the industry.” There is certainly a strong case for the current tax-free status of jet fuel to end.

Substitution, persuading travellers to switch from planes to trains, is another solution proposed in the report. It calls for, “greater competition in the rail sector in order to improve performance and drive down operating costs and fares”. This suggestion would have been unthinkable 20 years ago. Today, speed and comfort have marginally improved for train travel (as there are now more fast routes). While, especially for shorter distances, flying has become increasingly unpleasant and time-consuming.

“It used to be a rule that, in order to compete with a one-hour flight, a train journey could be a

- 45 maximum of three hours,” says Mark Smith, of rail travel website Seat61. “That was allowing for an hour in the air and two for security, boarding and transfers. That simply is not the case anymore, with longer check-in and security times.”
- At the same time as taxing air travel with the APD, the UK government subsidises some routes. One example, introduced in March 2019, is on a new route between Newquay (in Cornwall) and
- 50 London Heathrow. Around 170 000 passengers are predicted to use the service each year. Over the first four years, the Department for Transport and Cornwall County Council will each pay up to £1.7m, representing a subsidy of £10 per passenger for a return flight. The UK Transport Secretary at the time, Chris Grayling, said, “Maintaining and enhancing air routes that help bring together the UK is one of the key benefits. This new route will see the people of the south west
- 55 profit from a direct connection into [Heathrow], building on the government’s ongoing commitment to the Newquay route, protecting choice and strengthening trade and travel opportunities for the whole UK.”

Refer to line 11. Calculate, using information from the stimulus material, the average cost of a seat on an easyJet plane in 2018.

[2]

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END OF QUESTION PAPER